

S&P Global Germany Services PMI®

Service sector enjoys strong end to Q3 despite renewed price pressures

September 2026

Business activity growth at seven-month high amid sustained upturn in demand

Employment ticks up again as pressure builds on operating capacity

Input cost inflation spikes to highest since May

Germany's service sector saw solid growth in business activity in September, supported by a sustained recovery in demand conditions, according to the latest PMI® survey results. Employment meanwhile rose for the second month running, in line with signs of growing capacity pressures and hopes of further growth in activity in the ahead.

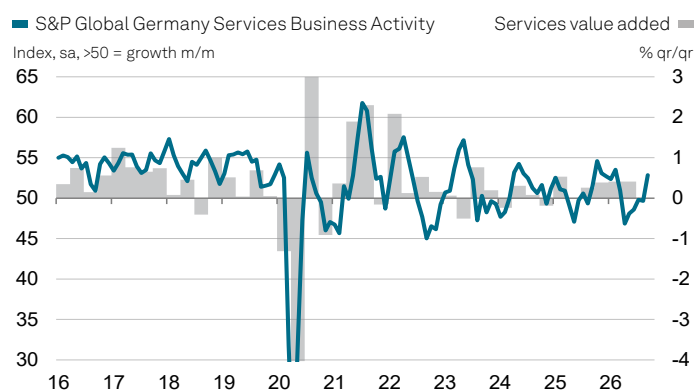
The upturn came despite a revival in inflationary pressures across the sector. Input costs rose at a rate that was only fractionally below April's recent high, which in turn contributed to a steeper increase in average prices charged.

The headline S&P Global Germany Services PMI® Business Activity Index is based on a single question asking how the level of business activity compares with the situation the month before. A reading above 50.0 signals expansion, and the further above the 50.0 threshold the faster the rate of expansion signalled.

The headline Business Activity Index rose noticeably in September, climbing from August's 49.7 to 52.9. This was the highest reading since just before the start of the Middle East conflict in February.

Reports from surveyed businesses pointed to improved demand from clients, including signs of greater investment spending. Continuing the trend seen throughout the third quarter, inflows of new business increased across the service sector in September. Moreover, the rate of growth accelerated to the quickest since November last year. The latest data also indicated a second successive monthly increase in new business from abroad, albeit with the pace of expansion easing since August.

In a sign of growing pressure on business capacity, September data showed another increase in backlogs of work at German service providers, building on the first – albeit fractional – rise seen for six months in August. Although the rate of accumulation was only modest, it was the fastest recorded since June 2022.



Data were collected 10-25 September 2026.

Sources: S&P Global PMI, Destatis via S&P Global Market Intelligence. © 2026 S&P Global

Comment

Phil Smith, Economics Associate Director at S&P Global Market Intelligence:

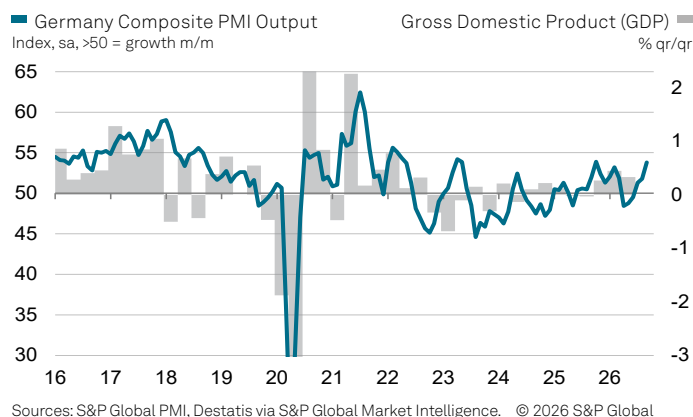
"The rise in business activity in September reinforces the tentative signs of recovery we've been seeing in the services sector for a few of months now. In an encouraging sign of resilience, inflows of new work rose for the third month and to the greatest extent since November last year, seemingly undeterred by the renewed energy-related inflationary pressures we saw during the month.

"Driven by rising fuel prices, input cost inflation in the service sector in September almost matched that seen at the height of the initial oil price spike back in April. All else equal, the re-introduction of the fuel tax cut at the start of October will slow the rates of inflation in the service sector and provide some reprieve for businesses and consumers alike."

Accordingly, services firms took on additional staff during September as they looked to keep up with rising workloads. That said, payroll numbers increased only marginally and at a slower pace than the month before.

German service providers continued to look to the future with optimism. Those that expected activity levels to rise over the next 12 months mentioned hopes of improved economic conditions and greater geopolitical stability. The overall degree of optimism did, however, ease further from July's recent high to lowest since June.

As for prices, the latest data indicated an intensification of inflationary pressures across the services sector at the end of the third quarter, driven by a surge in costs. Operating expenses rose at the quickest rate since April, linked in large part by surveyed business to an increase in the cost of energy and fuel. In turn, firms were more aggressive with their own price increases, resulting in a rebound in the rate of output charge inflation to a five-month high.



S&P Global Germany Composite PMI®

The S&P Global Germany Composite* PMI Output Index registered 53.8 in September, up from 51.8 in August and its highest reading for almost a year.

Output growth was broad-based and led by manufacturing, as was the case for new business and export sales. Goods producers also drove an increase in business expectations.

Employment rose for the second month running, albeit only fractionally, as a further uptick in services workforce numbers coincided with a slowdown in factory job cuts.

Rates of input and output price inflation both ticked up to a four-month high, meanwhile.

Contact

Phil Smith
Economics Associate Director
S&P Global Market Intelligence
T: +44-1491-461-009
phil.smith@spglobal.com

Hannah Brook
EMEA Communications Manager
S&P Global Market Intelligence
T: +44-7483-439-812
hannah.brook@spglobal.com
press.mi@spglobal.com

Frank Rösch
Head of Press and
Communications
BME
frank.roesch@bme.de

If you prefer not to receive news releases from S&P Global, please email press.mi@spglobal.com. To read our privacy policy, click [here](#).

Methodology

The S&P Global Germany Services PMI® is compiled by S&P Global from responses to questionnaires sent to a panel of around 400 service sector companies.

The sectors covered include consumer (excluding retail), transport, information, communication, finance, insurance, real estate and business services. The panel is stratified by detailed sector and company workforce size, based on contributions to GDP. Data collection began in June 1997.

Survey responses are collected in the second half of each month and indicate the direction of change compared to the previous month. A diffusion index is calculated for each survey variable. The index is the sum of the percentage of 'higher' responses and half the percentage of 'unchanged' responses. The indices vary between 0 and 100, with a reading above 50 indicating an overall increase compared to the previous month, and below 50 an overall decrease. The indices are then seasonally adjusted.

The headline figure is the Services Business Activity Index. This is a diffusion index calculated from a question that asks for changes in the volume of business activity compared with one month previously. The Services Business Activity Index is comparable to the Manufacturing Output Index. It may be referred to as the 'Services PMI' but is not comparable with the headline manufacturing PMI figure.

The Composite Output Index is a weighted average of the Manufacturing Output Index and the Services Business Activity Index. The weights reflect the relative size of the manufacturing and service sectors according to official GDP data. The Composite Output Index may be referred to as the 'Composite PMI' but is not comparable with the headline manufacturing PMI figure.

Underlying survey data are not revised after publication, but seasonal adjustment factors may be revised from time to time as appropriate which will affect the seasonally adjusted data series.

For further information on the PMI survey methodology, please contact economics@spglobal.com.

S&P Global

S&P Global (NYSE: SPGI) provides essential intelligence. We enable governments, businesses and individuals with the right data, expertise and connected technology so that they can make decisions with conviction. From helping our customers assess new investments to guiding them through ESG and energy transition across supply chains, we unlock new opportunities, solve challenges and accelerate progress for the world.

We are widely sought after by many of the world's leading organizations to provide credit ratings, benchmarks, analytics and workflow solutions in the global capital, commodity and automotive markets. With every one of our offerings, we help the world's leading organizations plan for tomorrow, today.

www.spglobal.com

BME

The BME is the German Association for Supply Chain Management, Procurement and Logistics. Founded in 1954 it provides services for around 9750 individual and corporate members, including small and medium-sized businesses as well as Germany's top 200 companies. The BME liaises between businesses and academia, both on the demand and the supply side, by providing the necessary networks for communication and knowledge exchange. The association is open to all company types from any sector (industry, trade, banking/insurance, public sector, service providers, etc.).

Bundesverband Materialwirtschaft, Einkauf und Logistik e.V. (BME), Frankfurter Str. 27, 65760, Eschborn, Germany.

www.bme.de

PMI by S&P Global

Purchasing Managers' Index™ (PMI®) surveys are now available for over 40 countries and also for key regions including the eurozone. They are the most closely watched business surveys in the world, favoured by central banks, financial markets and business decision makers for their ability to provide up-to-date, accurate and often unique monthly indicators of economic trends.

www.spglobal.com/marketintelligence/en/mi/products/pmi

Disclaimer

The intellectual property rights to the data provided herein are owned by or licensed to S&P Global and/or its affiliates. Any unauthorised use, including but not limited to copying, distributing, transmitting or otherwise of any data appearing is not permitted without S&P Global's prior consent. S&P Global shall not have any liability, duty or obligation for or relating to the content or information ("Data") contained herein, any errors, inaccuracies, omissions or delays in the Data, or for any actions taken in reliance thereon. In no event shall S&P Global be liable for any special, incidental, or consequential damages, arising out of the use of the Data. Purchasing Managers' Index™ and PMI® are either trade marks or registered trade marks of S&P Global Inc or licensed to S&P Global Inc and/or its affiliates.

This Content was published by S&P Global Market Intelligence and not by S&P Global Ratings, which is a separately managed division of S&P Global. Reproduction of any information, data or material, including ratings ("Content") in any form is prohibited except with the prior written permission of the relevant party. Such party, its affiliates and suppliers ("Content Providers") do not guarantee the accuracy, adequacy, completeness, timeliness or availability of any Content and are not responsible for any errors or omissions (negligent or otherwise), regardless of the cause, or for the results obtained from the use of such Content. In no event shall Content Providers be liable for any damages, costs, expenses, legal fees, or losses (including lost income or lost profit and opportunity costs) in connection with any use of the Content.